

and the mistake may turn out to be inconsequential. Or one may be right, say, on such a subject as the sex of angels, and it may turn out to be of no use beyond intellectual stamp collecting.

The simplified, philistinified, academified, and glorified notion of “evidence” becomes useless. With respect to Black Swans, you act to protect yourself from negative ones (or expose yourself to positive ones) even though you may have *no evidence* that they can take place, just as we check people for weapons before they board a plane even though we have *no evidence* that they are terrorists. This focus on off-the-shelf commoditized notions such as “evidence,” is a problem with people who claim to use “rigor” yet go bust on occasion.

A probabilistic world has trouble with “proof” as it is, but in a Black Swan world things are a lot worse.

Indeed, I know of almost no decision that is based on notions of True/False.

Once you start examining the payoff, the result of decisions, you will see clearly that the consequences of some errors may be benign, those of others may be severe. And you pretty much know which is which beforehand. You know which errors are consequential and which ones are not so much.

But first let us look at a severe problem in the derivation of knowledge about probabilities.

THE DEPENDENCE ON THEORY FOR RARE EVENTS

During my *deserto* period, when I was getting severe but entertaining insults, I found myself debating a gentleman then employed by a firm called Lehman Brothers. That gentleman had made a statement in *The Wall Street Journal* saying that events we saw in August 2007 should have happened once every ten thousand years. Sure enough, we had three such events three days in a row. *The Wall Street Journal* ran his picture and if you look at it, you can safely say, “He does not look ten thousand years old.” So where is he getting his “once in ten thousand years” probability? Certainly not from personal experience; certainly not from the records of Lehman Brothers—his firm had not been around for ten thousand years, and of course it didn’t stay around for another ten thousand years, as it went under right after our debate. So, you know that he’s getting his small probabilities from a theory. *The more remote the event, the less we can get empirical data (assuming generously that the future will resemble the past) and the more we need to rely on theory.*